NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 13.04.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/1/230/AMR/2022		230	Sri Sai Krishna Cotspin Private Limited (Demerged Company) Sri Sindhuri Cold Storage Private Limited (Resulting Company-1) Sri Sai Prathima Warehouses Private Limited (Transferee Company)

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA (A) Merger & Amalgamation/1/230/AMR/2022 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.1/230/AMR/2022

In the matter of the Companies Act, 2013;

AND

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Scheme of Arrangement between Sri Sai Krishna Cotspin Private Limited (Demerged Company), Sri Sindhuri Cold Storage Private Limited (Resulting Company-1) and Sri Sai Prathima Warehouses Private Limited (Resulting Company-2)

Sri Sai Krishna Cotspin Private Limited,
Rep. by its Director Mr.Satyanarayana Kanagala,
having its registered office at Flat No: 39 & 42,
Walcot Daba, Industrial Estate,
Walcot Daba Nagar, NH-5, Guntur,
Andhra Pradesh-522003.

...1st Applicant/Demerged Company

Sri Sindhuri Cold Storage Private Limited,
Rep. by its Director Mr.Satyanarayana Kanagala,
Having its registered office at 4-19-25,
4th Line, Vikas Nagar, Guntur,
Andhra Pradesh-522006.

... 2nd Applicant/Resulting Company-1

Sri Sai Prathima Warehouses Private Limited,
Rep. by its Director Mr.Satyanarayana Kanagala,
having its registered office at F.No.6,
Saikrishna Residency, 4/1, Vidya Nagar,
Guntur, Andhra Pradesh – 522006.
... 3rd Applicant/Resulting Company-2

Order Pronounced on 13.04.2022

Coram:
Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Applicant(s) : Mr. Naresh Kumar Sangam, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking an order to dispense with convening the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for consideration of the Scheme of Arrangement ("Scheme" for short) between the Applicant Companies and their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, they are within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of the present case are as follows:

a) The 1st Applicant/Demerged Company was incorporated under the provisions of the Companies Act, 1956. The Authorised Share Capital is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of cotton spinners and doublers, flex, hemp, jute and wool merchants, wool combers, worsted spinners, ginners, yarn merchants, worsted stuff manufacturers, hosieries, manufacturers of cotton bandings and hospital requisites, bleachers or dryers and makers of vitriol bleaching and dyeing materials and to purchase, comb, prepare spindle and weave or otherwise manufacture, buy and sell and deal in linen, cloth, artificial silk etc.

b) The 2nd Applicant/Resulting Company-1 was incorporated under the provisions of the Companies Act, 1956. The Authorized Share Capital is Rs.15,00,000/- divided into 15,000 equity shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 1,000 equity

shares of Rs.100/- each. The main objects of the Company are to construct, build, equip, own and maintain and to carry on business as keepers of cold storage, storage chambers, ice plants, godowns, warehouses, refrigerators, freezing houses and room coolers for storing agricultural commodities like chilies, paddy, sea foods etc., and to provide cold chain facilities such as temperature controlled warehouses of varied capacities, refrigerated transport vehicles and other auxiliary facilities for perishable goods like mil, fruits, vegetables etc.

c) The 3rd Applicant/Resulting Company-2 was incorporated under the provisions of the Companies Act, 1956. The Authorised Share Capital is Rs.15,00,000/- divided into 15,000 equity shares of Rs.100/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 1,000 equity shares of Rs.100/- each. The main objects of the Company are to construct, build, equip, own and maintain and to carry on business as keepers of cold storage, storage chambers, ice plants, godowns, warehouses, refrigerators, freezing houses and room coolers for storing agricultural commodities like chilies, paddy, sea foods etc., and to carry on the business of clearing and forwarding agents, courier and cargo handlers, handling and haulage contractors etc.

4. According to the Applicant Companies, the Demerged Business and remaining business carried on by Demerged Company have significant potential for growth. The nature of risk and competition involved in each of these units are distinct from each other and consequently Demerged Business and remaining Business is capable of attracting a different set of business leaders, employees, investors, strategic partners, lenders and other stakeholders. The board of Directors of the Demerged Company felt that the Demerged business and remaining business should be bifurcated and should have independent entities for each undertaking. It is believed that the proposed segregation will create enhanced value for all stakeholders and allow a focused strategy in operations, which would be in the best interest of Demerged Company, all its stakeholders, creditors and all persons connected with Demerged Company. It will also provide scope for independent collaboration and expansion, without committing the existing organization in its entirety.

5. It is further stated that the Board of Directors of the Applicant Companies vide its resolution dated 31.01.2022 has approved the Scheme of Arrangement with appointed date as 01.12.2021, subject to the approval of their shareholders and creditors.

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

7. The 1st Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.01.2022 there are Three (3) Shareholders, together holding 50,000 shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

8. The 1st Applicant/Demerged Company also has filed certificate of the Auditor stating that there are no Secured Creditors as on 31.01.2022.

9. The 1st Applicant/Demerged Company has filed certificate of the Auditor stating that as on 31.01.2022 there are Five (5) Unsecured Creditors i.e., Pamulapati Chandraiah, Venkateswarlu Katragunta, Satyanarayana Kanagala, K.Srinivasa Rao & Co and Mastanaiah & Co having a debt of Rs.30,31,566/- and has given its consent in the form of affidavit agreeing to the proposed Scheme.

10. The 2nd Applicant/Resulting Company-1 has filed certificate of the Auditor stating that as on 31.01.2022 there are Three (3) Shareholders together holding 1,000 shares and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

11. The 2nd Applicant/Resulting Company-1 also has filed certificate of the Auditor stating that there are no Secured Creditors as on 31.01.2022.

12. The 2nd Applicant/Resulting Company-1 has filed certificate of the Auditor stating that as on 31.01.2022 there are Three (3) Unsecured Creditors i.e., Satyanarayana Kanagala, K.Srinivasa Rao & Co and Mastanaiah & Co having a debt of Rs.60,867/- and has given its consent in the form of affidavit agreeing to the proposed Scheme.

13. The 3rd Applicant/Resulting Company-2 has filed certificate of the Auditor stating that as on 31.01.2022 there are Three (3) Shareholders together holding 1,000 shares and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

14. The 3rd Applicant/Resulting Company-2 also has filed certificate of the Auditor stating that there are no Secured Creditors as on 31.01.2022.

15. The 3rd Applicant/Resulting Company-2 has filed certificate of the Auditor stating that as on 31.01.2022 there are Three (3) Unsecured Creditors i.e., Venkateswarlu Katragunta, K.Srinivasa Rao & Co and Vangala & Associates having a debt of Rs.44,134/- and has given its consent in the form of affidavit agreeing to the proposed Scheme.

16. Heard the submissions made in this regard by Shri Naresh Kumar Sangam, Learned Counsel appearing for the Applicant Companies and perused the documents filed.

17. It is noted that all the shareholders of the Applicant Companies have given consent affidavits agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Shareholders of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

18. It is also found that there are no Secured Creditors in the Applicant Companies and there is no need to direct the Applicant Companies to hold meeting of the Secured Creditors of the Applicant Companies.

19. It is noted that Unsecured Creditors have given consent affidavit agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Unsecured Creditors of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

20. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2)

of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

21. In the event of the Applicant Companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth his/their contention(s) before the Tribunal. Hence ordered.

ORDER

The Company Application i.e. CA(CAA) No.1/230/AMR/2022 is allowed and disposed of accordingly.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

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